

CNH: BoP flow dynamics remain supportive

Asymmetric sensitivity to the USD, strong net FX trade settlement inflows, a positive Xi-Trump meeting, lower USD/CNY fixings and FX undervaluation.

Trade: We maintain a modest conviction level of 3/5 on our **short USD/CNH** recommendation, targeting 6.60 (~4.0% gain) by end-August.

Recent developments continue to support our view. Overall, we expect CNH outperformance based on our favorable views on China's capital flows, political/policy developments and relative competitiveness of China/RMB.

Drivers of CNH outperformance

1. **CNH has outperformed amid the ongoing US-Iran stalemate.** While we see a risk of the stronger USD backdrop temporarily slowing the downtrend in USD/CNH, it remains clear that the **upside in USD/CNH remains limited and the risk is for a more significant move lower in USD/CNH** if there are positive US-Iran developments (such as a re-opening of the Strait of Hormuz). Since the start of the Iran war (28 February) to date (21 May 2026) DXY is higher by 1.7%, while USD/CNH is actually 0.9% lower – leading the CNH CFETS basket 1.8% stronger over the same period. During this period, the sensitivity of USD/CNH to upward moves in DXY moves has been low at around 28%, while USD/CNH sensitivity is much higher at ~62% when DXY is falling. China's *energy security* is one of the strongest within Asia, and it is relatively *less exposed* to the Strait of Hormuz shock, and we believe the corporate flow backdrop remains strong.
2. **Strong onshore corporate FX repatriation continues and is supported by China's strong external sector.**
 - Latest April data on net FX trade settlement showed a surplus of USD47.7bn (Q1 average: USD65.3bn), which was equivalent to 82.1% of the trade surplus after adjusting for RMB settlement (Figure 1). The exporter remittance ratio (as a percentage of export value) decreased to 50.1% in April (Q1 average: 55.8%), while importers' FX demand ratio remain stable at 48.3% (Q1 average: 48.7%).
 - We believe **exporter FX selling activity is likely remain robust in the coming months**, owing to China's continued strong export growth (net trade surplus in Q1 2026 totaled USD247bn), as well as some local expectations for RMB appreciation. In our view, a further de-escalation in the Middle East would be a significant catalyst for even greater exporter repatriation. Our economics team also raised its 2026 China export growth forecast to **8.6%** from 4.0%, with full-year trade surplus forecast at USD1,161bn.
3. **We believe the recent Xi-Trump summit has created a *constructive backdrop* for US-China relations in the coming month, as well as a more conducive environment for China's capital inflows.** Foreign inflows into our tracking of China-focused equity ETFs totalled USD1.8bn from 13-19 May, with a relatively notable daily inflow of USD811mn on 18 May (first session after the end of the Xi-Trump summit). MTD foreign inflows into these China-focused equity ETFs stood at USD2.2bn (1-19 May). The last large monthly inflows occurred in February and March 2025, after the release of *Deepseek-R1* on 20 January 2025 (USD4.4bn and USD2.5bn inflows in February and March 2025 respectively).
 - The other positivity around the Xi-Trump meeting is improved trade relations with the China Ministry of Commerce confirming *details initially provided* by US officials including a tariff reduction on ~USD30bn worth of goods. China also signaled that it would not retaliate after the US imposed new Section 301 tariffs as replacements for *previous IEEPA tariffs*, which were stuck down by the US

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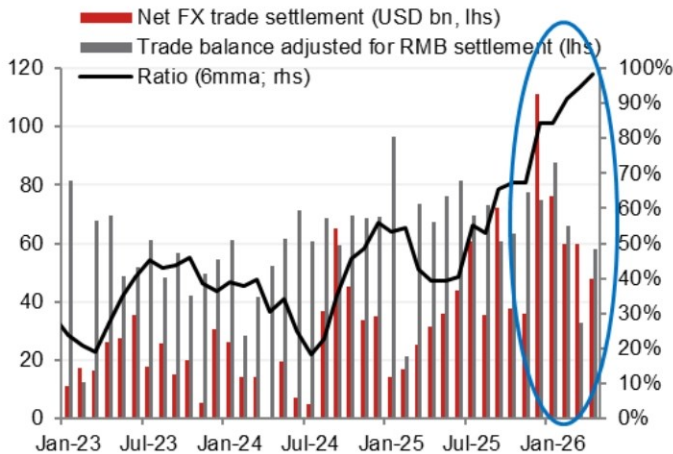
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Supreme Court, as long as the US tariffs on China do not exceed the level outlined in the Kuala Lumpur trade talks agreement (which culminated to the *US-China trade deal* agreed on 30 October 2025).

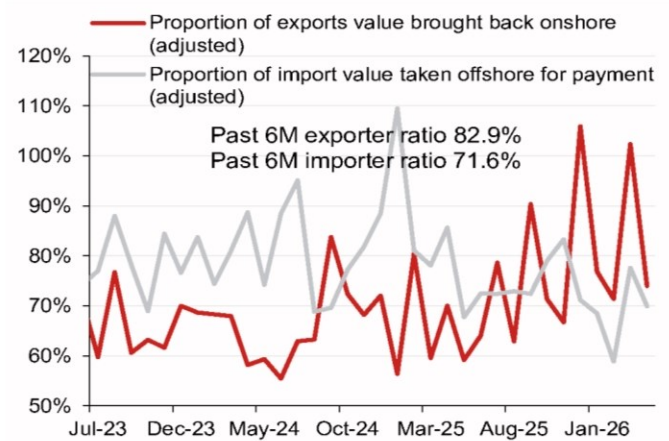
4. **USD/CNY fixing is drifting lower despite some official restraints.** The daily USD/CNY fixing came in at 6.8349 on 21 May – its lowest since 15 February 2023. Since 8 May (the start of the latest upswing in DXY; +1.3%), the daily USD/CNY fixing has on average been 14 pips lower. Positive model errors (actual fix minus our model projection) have remained stable at an average of +417 pips.
5. **RMB appreciation should also be supported by its substantial *undervaluation*.** Based on our four FX valuation models, RMB remains undervalued by an average of 9.5%, with its productivity-adjusted REER undervalued by 19.3%.

Fig. 1: China net FX trade settlement



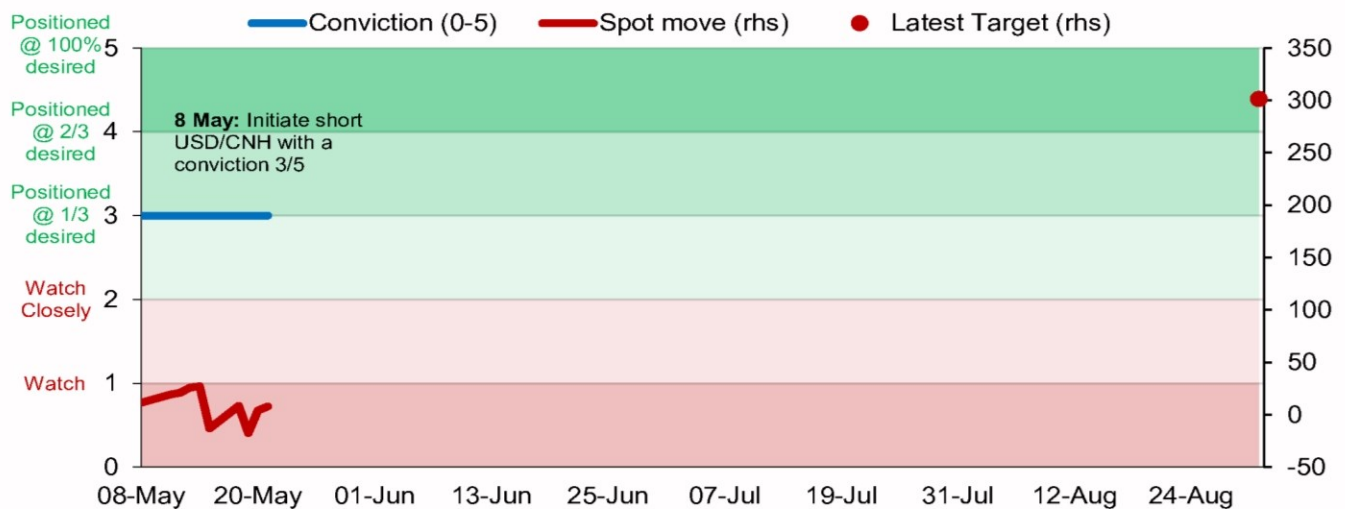
Source: CEIC, Nomura

Fig. 2: Exporter remittances and importer FX demand ratio



Source: CEIC, Nomura

Fig. 3: Short USD/CNH, conviction level 3/5, targeting 6.60 by end-August 2026



Source: Bloomberg, Nomura

Fig. 4: Trade Ideas

Trade	Target	Timeline	Conviction (0-5)	Entry Date
<i>Receive Jun-IMM 1y SORA</i>	1.20%	end-Jun	3	15-May-26
<i>Short USD/CNH</i>	6.6	end-Aug	3	8-May-26
<i>Long 12m USD/HKD</i>	7.8	12-May-27	3	8-May-26
<i>Short AUD/NZD</i>	1.1800	end-Jun	3	30-Apr-26
<i>Long CNH vs 6FX abridged basket</i>	-	-	2	30-Apr-26
<i>Long CHF/JPY</i>	206.5	end-Jun	4	30-Apr-26
<i>Long EUR/PHP</i>	73.5	end-Jul	4	17-Apr-26
<i>Long EUR/SEK</i>	11.2	end-Jun	3	17-Apr-26
<i>Receive Dec-1y Korea NDIRS</i>	3.60%	mid-Jun	3	13-May-26
<i>Long 30y CGB vs. pay Jun-3y China NDIRS (extra pay in 3y)</i>	15bp gain	end-May	3	14-Apr-26
<i>Receive Jun-IMM 5y THOR (50% vs. US)</i>	20bp gain	end-May	3	8-Apr-26
<i>Long EUR/INR</i>	113	end-Aug	4	1-Apr-26
<i>Pay Jun-IMM 10y HK IRS</i>	50bp gain	end-May	3	6-Mar-26
<i>Long USD/THB</i>	-	-	1	2-Feb-26
<i>Long 9m USD/HKD</i>	7.8	27-Oct-26	3	23-Jan-26
<i>Long 12m USD/HKD</i>	7.8	27-Jan-27	3	23-Jan-26
<i>Long SGD/IDR</i>	14,200	end-Aug	5	9-Jan-26
<i>Long EUR/GBP</i>	0.8950	end-Jun	4	9-Jan-26

Source: Nomura

Please see [Strategy portfolio update](#) (7 May 2026) for our full portfolio.

Appendix A-1

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